

Opinion **Markets Insight**

The hard data signals the Fed should not cut rates

Policy setters should not be swayed by a false narrative arising from soft economic surveys

JUSTIN D'ERCOLE



Construction work on the Federal Reserve building in Washington in July © Samuel Corum/Bloomberg

Justin D'Ercole

Published SEP 3 2025

The writer is founder and chief investment officer at ISO-MTS Capital Management

Is saving more marginal jobs in the US economy now more important than maintaining inflation fighting credibility and financial stability for all consumers? Over the past 40 years, the US Federal Reserve has facilitated both the efficient financing of a growing government debt load and exceptional asset price appreciation.

Now it faces a fresh dilemma. A false market narrative of economic weakness has emerged from soft data, based on emotionally-driven surveys, that is being used to support the case for interest rate cuts. But the hard data supports no cuts and maybe even a rise. Ultimately, this is what should hold sway.

Current economic conditions are quite simple to assess with hard data. Our government is running the largest non-recession deficit to GDP in its history. The economy is growing at potential. Stock valuations are extreme. Inflation is at 3 per cent. The unemployment rate is mostly unchanged over the past year and historically low.

Soft data such as consumer confidence surveys paints a picture of the people struggling under the weight of high prices, high interest rates, difficulty finding jobs, and a slowing economy. While consumers might feel like they're struggling, the hard data indicates otherwise.

Yes, we have some recent weakening in the headline numbers for monthly increases in US non-farm payrolls. But the Fed should be looking at the broader picture in adjusting financial conditions. The measure of "available aggregate labour income" — the total income earned by employees — is growing at a very strong 4-5 per cent pace. Credit card data continues to improve with delinquencies lower year over year. Growth in personal spending in July came in at 0.5 per cent, taking the three-month moving average back up to where it was at the beginning of the year.

Data on the trend of weekly jobless claims has contributed to the false narrative of a sluggish labour market. However, this year's increase in continuing claims is largely attributable to job cuts in Washington made by the so-called Department of Government Efficiency. Initial claims are in-line to lower than past years.

In fact, the breadth of the market can be seen by what is known as the Diffusion Index within the monthly labour market report. This shows the number of industries adding jobs compared with the number losing jobs — and an index reading above 50 signals expansion. It is now over 50 and well above readings last year, indicating that weakness in parts of the labour market is quite narrow.

Loan growth in the economy has been mistakenly accused of being weak. Loan growth at the large banks is significantly improved from the past few years and is currently growing above economic potential.

The narrative about commercial real estate being in trouble and at some point likely to break, is also fiction. Both major measures of asset quality at the banks are significantly improved with delinquencies and net charge offs steadily improving compared with previous years across all major segments of the economy. So-called “criticised loans”, the debt that banks think may become non-performing, are actually falling over the past three quarters. And rising demand for collateralised loan obligations — pools of loans that are sold to investors as securities — will lead to more efficient refinancing of existing loans for the industry. The commercial real estate CLO market has seen \$20.6bn of issuance this year, far exceeding last year’s value of \$8.5bn.

The idea that we have “room” to cut is fiction. The market has already spoken on last year’s “policy insurance” and “risk management” cuts. The longer-term end of the US Treasuries market is 1 percentage point higher than 12 months ago. The curve of yields between shorter and longer debt maturities is also considerably steeper, signalling investors are wanting more compensation for the risk of holding Treasuries for more time. And the equity market is showing signs of froth.

This is not a tough and uncertain time for monetary policy. The economy is not struggling under the cloud of uncertainty due to tariffs and supply chain adjustments. The Fed should not let the wrong narrative influence policy decisions. A rate cut won’t help any consumer handle higher prices and it won’t help unlock the housing market unless consumers start relying more on floating rate mortgages again. If the Fed votes to cut its benchmark rate in September, will it be cutting because it can or because it should? The hard data clearly supports a hold, or even a rise.

Follow the topics in this article

Justin D'Ercole

Markets Insight

Global Economy

US economy

US interest rates